



# The Children's Investment Fund

## Q2 2011 Report

### Fund Performance

| Period     | Master Fund Assets (€m) | Class A (3yr) \$ | Class A (3yr) € | Class C (5yr) \$ | Class C (5yr) € | Class D (Q) \$ | Class D (Q) € | MSCI World (\$) |
|------------|-------------------------|------------------|-----------------|------------------|-----------------|----------------|---------------|-----------------|
| Apr 2011   | 4,094                   | 5.23%            | 5.15%           | 5.23%            | 5.15%           | 5.23%          | 5.15%         | 4.02%           |
| May 2011   | 4,217                   | 0.73%            | 0.75%           | 0.73%            | 0.75%           | 0.73%          | 0.75%         | -2.45%          |
| Jun 2011   | 4,027                   | -1.24%           | -1.18%          | -1.24%           | -1.18%          | -1.24%         | -1.18%        | -1.73%          |
| Q2 2011    |                         | 4.68%            | 4.69%           | 4.68%            | 4.69%           | 4.68%          | 4.69%         | -0.28%          |
| Q1 2011    |                         | 11.25%           | 11.21%          | 11.25%           | 11.22%          | 11.25%         | 11.22%        | 4.29%           |
| 2011 YTD   |                         | 16.46%           | 16.43%          | 16.46%           | 16.43%          | 16.46%         | 16.44%        | 3.99%           |
| Annualised |                         | 16.88%           | 16.07%          | 17.57%           | 16.46%          | -              | -             | 3.39%           |
| Inception  |                         | 222.05%          | 205.86%         | 236.65%          | 213.53%         | -              | -             | 28.45%          |

Note: January 1, 2004 inception (Class A). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures since inception (January 1, 2004).

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP

### Key Fund Data

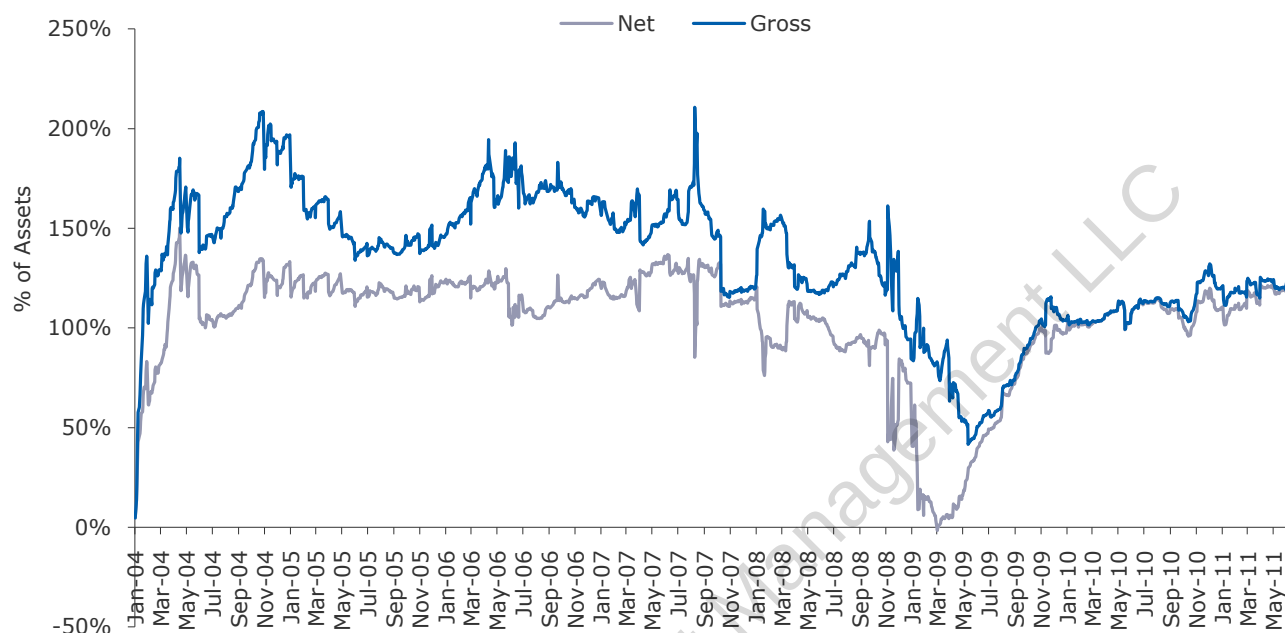
#### Exposure Summary

| % of Master Fund Net Assets |        |        |        |        |
|-----------------------------|--------|--------|--------|--------|
| Period                      | Longs  | Shorts | Gross  | Net    |
| June 2011                   | 134.2% | -0.3%  | 134.5% | 133.9% |
| May 2011                    | 130.4% | -0.4%  | 130.8% | 130.0% |
| April 2011                  | 130.0% | -1.5%  | 131.5% | 128.5% |

Note: Exposure includes subscriptions and redemptions at month-end.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

### The Children's Investment Master Fund Exposure Since Inception



Note: Gross and net exposure figures include equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

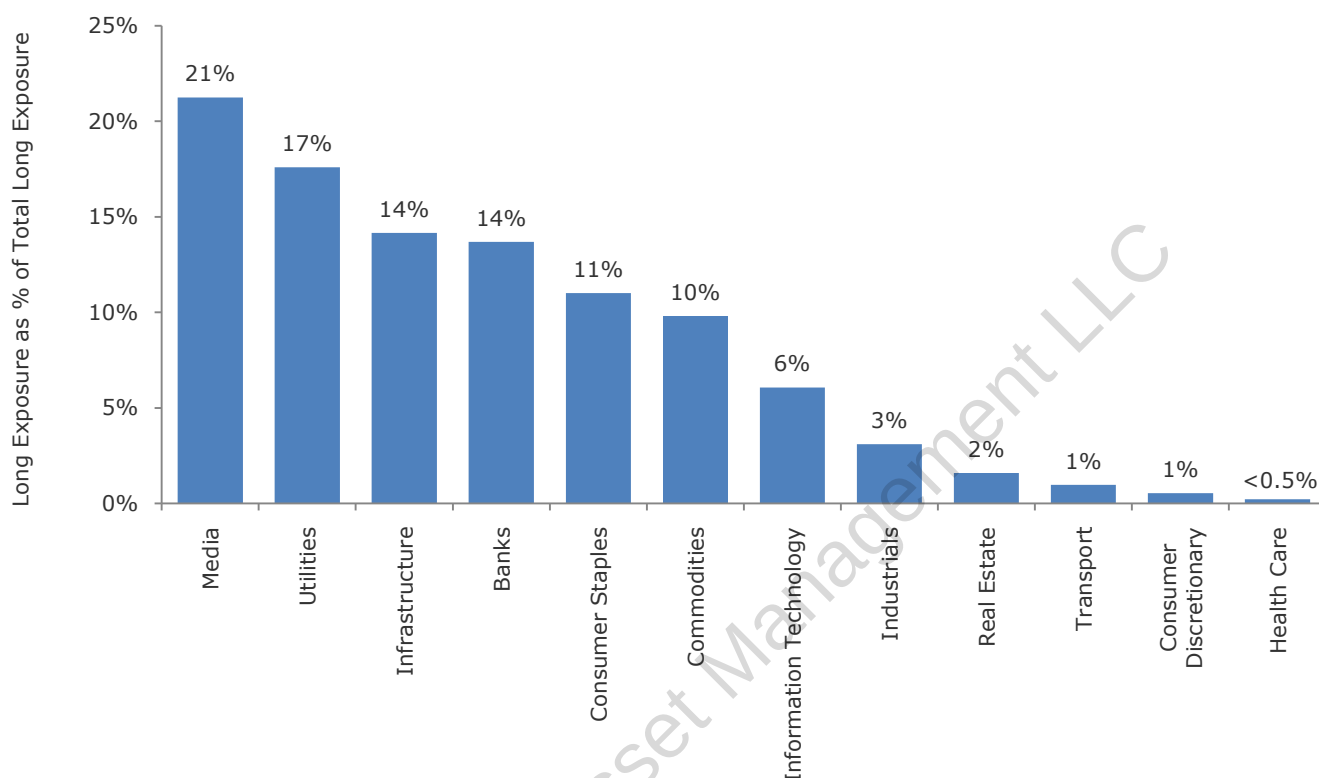
| Top 10 Positions as at 30 June 2011 | % of Master Fund Net Assets | Q2 2011 % Move, Local Terms |
|-------------------------------------|-----------------------------|-----------------------------|
| Corporate Debt                      | 19.9%                       | 0.7*                        |
| QR National                         | 11.0%                       | 0.9%                        |
| CESP                                | 10.9%                       | -1.4%                       |
| Walt Disney                         | 10.2%                       | -9.4%                       |
| Coal India                          | 10.2%                       | 13.4%                       |
| Viacom                              | 9.4%                        | 9.6%                        |
| CBS                                 | 8.8%                        | 13.8%                       |
| Red Electrica                       | 7.0%                        | 3.8%                        |
| Japan Tobacco                       | 7.0%                        | 3.0%                        |
| Unilever                            | 6.1%                        | 5.6%                        |

\*As measured by the Average Return on Capital Employed over the corporate debt positions.

Note: The security may not have been held for the entire period and may represent a different P&L change in comparison to the percentage move in local terms. % of Master Fund Net Assets includes subscriptions and redemptions at month-end. % of Master Fund Net Assets includes subscriptions and redemptions at month-end.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

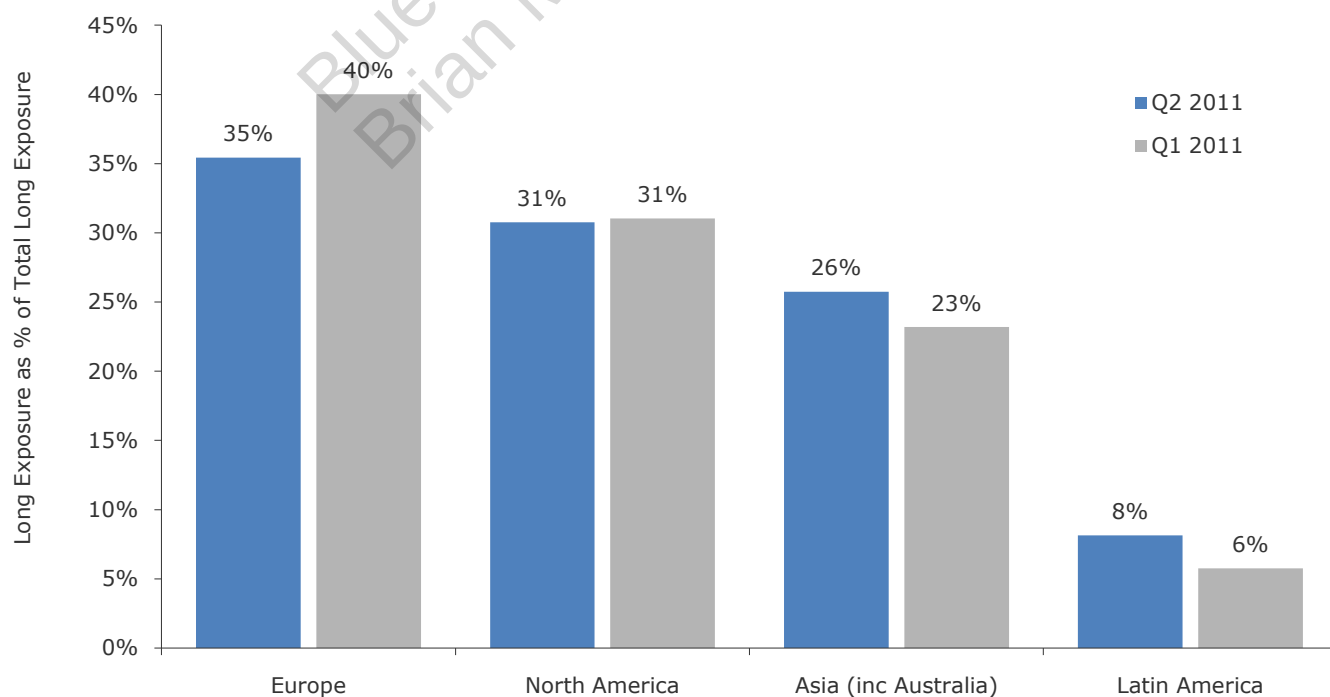
## Q2 2011 Portfolio Sector Long Exposure



Note: Sector exposure breakdown refers to the long book, including equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

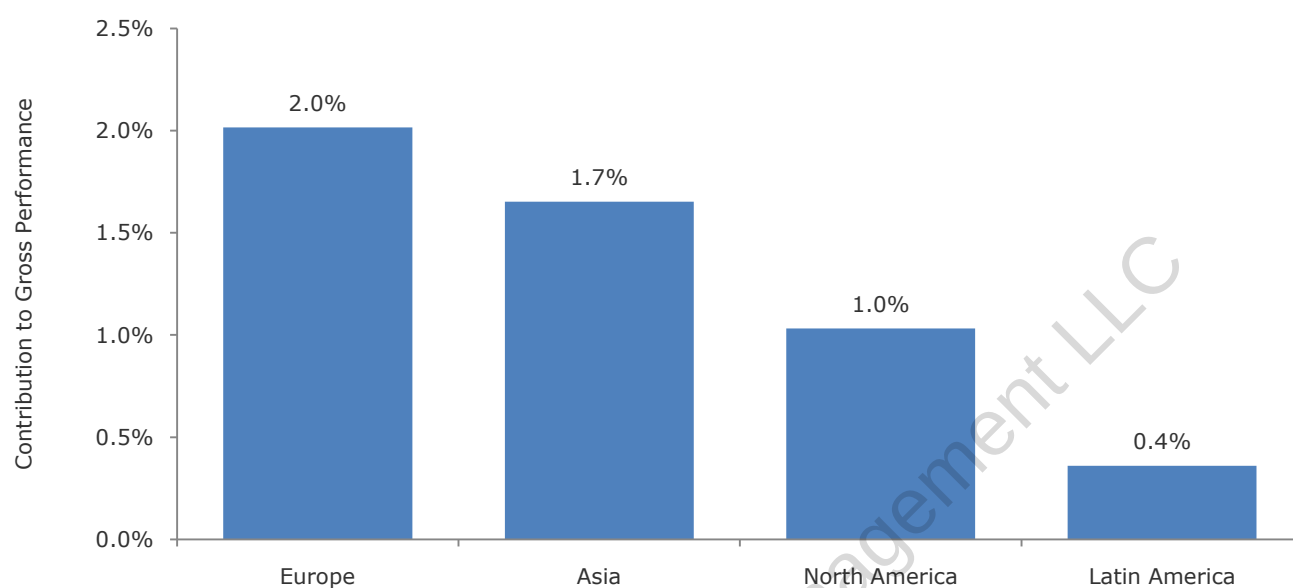
## Q2 2011 vs. Q1 2011 Portfolio Geographical Long Exposure



Note: Figures are re-based to a total of 100 and refer to the long book only, including equity and debt positions.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Q2 2011 Performance Contribution by Geography



Note: Performance contribution figures refer to the entire fund portfolio (including equity and debt positions).

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Q2 2011 Highest Performance Contributors

| Highest Contributors     | % Contribution to Q2 2011 Gross Performance |
|--------------------------|---------------------------------------------|
| CBS                      | 1.0%                                        |
| Coal India               | 0.9%                                        |
| Viacom                   | 0.7%                                        |
| Danone                   | 0.4%                                        |
| CESP                     | 0.4%                                        |
| British American Tobacco | 0.3%                                        |
| Unilever                 | 0.3%                                        |
| Wellpoint                | 0.3%                                        |
| Japan Tobacco            | 0.3%                                        |
| Lloyds Bank Bonds        | 0.3%                                        |

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Q2 2011 Highest Detractors

| Highest Detractors | % Detractors to Q2 2011 Gross Performance |
|--------------------|-------------------------------------------|
| Walt Disney        | (0.7)%                                    |
| Athabasca          | (0.2)%                                    |

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Portfolio Review for Q2 2011

### Lloyds Bank

Lloyds hosted a strategic review presentation and provided long term guidance to the street on June 30<sup>th</sup> which boosted the stock price by over 10%.

The new CEO, Antonia Horta-Osorio, presented his action plan which is focused on building a strong capital position, £1.5bn annual cost savings in 2014 and growth of the UK retail and SME businesses. Lloyds announced an intention to significantly reduce non-core assets in Ireland, shipping, aerospace and to cut its international footprint in half.

The company announced that it had conducted a detailed review of its provisioning and found it to be reasonable and adequate.

Its guidance is for a core tier 1 capital ratio in excess of 10% from January 2013 when Basel III commences, which is in line with our estimates.

### Coal India

In mid-July the Indian Prime Minister is expected to organise a meeting with all relevant ministries to attempt to find ways to reduce the serious coal shortages being suffered by India. The Ministry of Environment and Forest (MoEF) has already lifted the moratorium for 9 out of 16 coalfields which will support Coal India's production growth in the next 1-3 years.

A recently announced plan by a group of ministers to increase taxation on Coal India as part of new mining legislation has negatively impacted the share price. We already model Coal India paying 13-15% of its net income in special taxes for local governments and local people. We are skeptical that this current proportion will be materially increased.

An announced symposium on coal washing to be attended by the various ministries and Coal India is very positive for our investment thesis that over time increased coal washing will lead to significantly higher coal prices for the company.

### Japan Tobacco

Japan Tobacco (JT) recently announced that it will resume normal production mid-July instead of mid-August as previously guided.

JT's response to restart production of all 73 of its products and substantially increase shipments from July 4<sup>th</sup> was well received by investors. Furthermore, the purchase order ceiling for retailers will be released in August and JT will step up its marketing efforts to recover its market share as soon as possible.

There have been talks recently to raise cigarette taxes to pay for the reconstruction of Japan. This can easily be averted through an increase of JT's dividend payout, as explained on the TCI website [www.jtchange.com](http://www.jtchange.com). The website has attracted thousands of visitors and has become an effective platform to exchange ideas to improve JT's capital management. Two sell side brokers, as well as various newspapers and investors, have written about the Case for Change. We believe that it will be very difficult for management and the board of JT to ignore the strong consensus which publicly opposes JT's poor capital management.

### BMW

BMW reported strong volume growth of 16% for the month of June. BMW branded cars grew 16%, MINI was up 34% and Rolls-Royce up over 60%. Sales in China rose 41% in June and the company is also planning to raise prices in this region.

We continue to like the outlook for volume growth, mix and profitability for BMW and we think that the stock is still cheap despite its recent run-up.

## SAP

Q2 was a busy quarter for SAP as it hosted Sapphire, its major event for customers, partners and investors.

Overall, the feedback from Sapphire was positive – the favourable IT spending trends that we saw in 2010 have continued into 2011 and partners see their SAP business growing solidly this year.

There was a huge amount of interest in SAP's new HANA (High performance Analytic Appliance) product at Sapphire. HANA combines a powerful analytical engine with its proprietary in-memory database to allow real-time analysis of complicated data sets. For example, airlines can use HANA to price tickets in real-time, rather than waiting for a batch IT process at the end of the day and large taxi companies could use the software to organise jobs as they come into the system. SAP management are talking about revenue of \$1m per box. The returns from using this software are considerable and they are cautious about under-pricing it.

As well as having numerous meetings at Sapphire, we also visited SAP at its Walldorf headquarters to meet the co-CEO, Jim Snabe and the FD, Werner Brandt. We were impressed with the HANA and mobile growth initiatives and also its focus on driving up margins which will be achieved through operational gearing – "we don't need any more developers than we have today" was one of the comments from the CEO to us.

Q1 2011 results were in line with our expectations. Software and maintenance revenues grew by 20% (12% organically) but below the high-end of the street. Q1 is SAP's smallest quarter so extrapolation for the full year is a little dangerous, but management reiterated their guidance for 10% organic software and maintenance growth this year (at constant currency) and we think that they will manage this.

## Oracle

Oracle reported strong Q4 numbers (May year-end): licence revenues were up 15% yoy and FCF was an impressive \$3.7bn for the quarter, up 60%. While software sales beat, hardware sales were weaker than expected, with product revenues down 6% yoy which concerned the analyst community.

Oracle's hardware business is mostly the old Sun business combined with its rapid growth Exadata and Exalogic appliances. The fall in revenues is entirely from the legacy Sun business, a low quality business as the server hardware market is moving from unix to cheaper virtualised x86 boxes. This business deserves to be on a low multiple, but its impact on the overall valuation of oracle is small: it accounts for 4% of operating profit.

In contrast, Oracle's Exadata business is growing very rapidly: revenues were up 50% qoq and the growth in this business will eclipse the decline in the legacy Sun business in 2012.

The stock sold off post the numbers, but this was a case of investors focusing on the wrong part of the business (the low quality hardware business vs the high quality Exadata and software businesses). This gave us an opportunity to buy more stock cheaply on 12.5x our 2012 earnings estimate.

## Disney

Disney reported earnings for its quarter ended April which were in line with our expectations but disappointed the market due to one-off impacts such as the effect of the Japanese earthquake on the Tokyo Disneyland Park and continued losses on the Playdom on line gaming company. However, cable network operating profits were up 15% with strong ad growth at both ABC and ESPN where ads were up 43% yoy.

Park pricing is rising close to double digits giving us confidence in a recovery in park earnings. We continue to believe in significant structural growth and stock upside.

### **Viacom**

Viacom continues to grow advertising at double digit and affiliate fees at close to double digit. Operational leverage is leading to structural margin expansion. Combined with continued aggressive share repurchases we have raised our free cash flow estimates for 2012 so that the stock trades on 10x our estimate of this number.

### **CBS**

CBS's business continues to perform extremely strongly on all metrics. It is much more than an advertising recovery play. Structural cost reduction, multi-year uplifts in retransmission fees to over a billion dollars over time, increased monetization of the content library to new media distribution channels like Netflix, are leading to higher and more stable earnings over time. Active share repurchases of around 8% pa of the market cap are further driving shareholder value.

Despite a 50% increase in the shares YTD we still see the company on 10x 2012 free cash per share and growing this at 10-15% pa for several years.

### **Wellpoint**

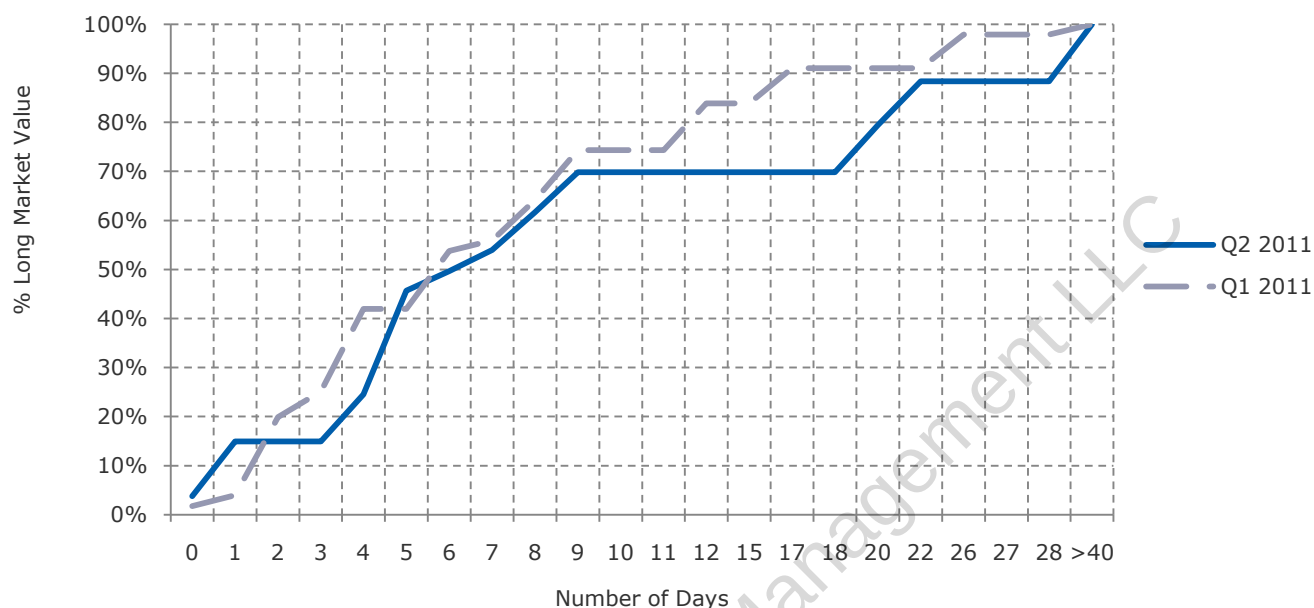
Medical utilisation trends remain muted this year and this has benefited the managed care industry as pricing has been robust.

We continue to see this in reported numbers. Wellpoint beat Q1 EPS expectations by 26% on the back of lower than expected medical costs and modestly better enrolment.

Healthcare reform has introduced regulations which constrain absolute profitability of the managed care industry, particularly the MLR floors, but the consequence of this has been a significant reduction in competition which will lower the volatility of profits over the underwriting cycle. Also, while it was painful to hear all political rhetoric against the HMOs, this has the effect of discouraging new capital from coming into the industry and has made high and sustained returns on equity more likely.

With the strong year to date performance of the shares we have significantly reduced our holding.

## Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Market Capitalisation of Portfolio

|                |     |
|----------------|-----|
| <\$5bn         | 7%  |
| \$5bn - \$10bn | 28% |
| >\$10bn        | 65% |

Notes: Analysis is based upon long equity and equity swap positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP

## Outlook

We remain very optimistic on the portfolio and fully invested despite continued anemic economic recoveries in the US and Europe.

## Investor Relations

### 2011 Investor Conference

We sincerely thank all investors who were able to join us at the TCI and Affiliates 2011 Annual Investor Conference in New York during June. We are more than happy to send hard copies of the associated material to any investor who was unable to attend and wishes to receive it. If so, please kindly send the request to:

✉ [irteam@cliffordstreet.com](mailto:irteam@cliffordstreet.com)

### Q2 2011 Investor Conference Call

Given the proximity to the TCI and Affiliates 2011 Annual Investor Conference, we will not host a conference call.



If you have any questions, please kindly contact the IR Team.

## Revised Offering Documents

As you are aware, a revised Offering Memorandum dated 30 June 2011 for The Children's Investment Fund has been released. The revised Confidential Memorandum for The Children's Investment Fund LP will follow in the near future.

## TCI Affiliated Investment Managers

### Algebris

Eric Halet and Davide Serra, co-founders of Algebris Investments, presented 'The Case for Financials' at the TCI and Affiliates 2011 Annual Investor Conference in June. Should you like to receive a copy of the presentation, please kindly send your request to Alex Lasagna ([alex@algebris.com](mailto:alex@algebris.com)).

Algebris currently manages four funds: the flagship Algebris Global Financials Fund, the Algebris Emerging Markets Financials Fund, the MS Algebris Global Financials UCITS Fund and their most recent offering, the Algebris Financial CoCo Fund.

The Algebris Financial CoCo Fund invests in the credit (CoCo and hybrid securities) of financial companies. It is designed to capture the coupon and any underlying price changes while protecting capital through using of CDS and opportunistic equity shorts. The fund launched in March 2011 and currently has approximately €170m AUM.

If you would like any additional information on any of Algebris' offering please contact Alex Lasagna.

### Parvus

Parvus currently manages circa €1.8bn. The long only strategy will be closing shortly and the long/short strategy is selectively open to new investments. For information on Parvus, please contact Rahul Moodgal ([rahul@parvusfunds.com](mailto:rahul@parvusfunds.com)).

Christopher Cooper-Hohn

Managing Partner  
July 2011

## Appendix 1 – The Children's Investment Fund Performance Since Inception

| Period   | Assets<br>(€m) | Class A<br>(3yr) \$ | Class A<br>(3yr) € | Class B<br>(5yr) \$ | Class C<br>(5yr) \$ | Class C<br>(5yr) € | MSCI World<br>(\$) |
|----------|----------------|---------------------|--------------------|---------------------|---------------------|--------------------|--------------------|
| Jan 2004 | 375            | +1.36%              | +1.44%             | +1.41%              |                     |                    | +1.54%             |
| Feb 2004 | 532            | +5.08%              | +5.09%             | +5.26%              |                     |                    | +1.55%             |
| Mar 2004 | 554            | +2.75%              | +2.93%             | +2.78%              |                     |                    | -0.89%             |
| Q1 2004  |                | +9.44%              | +9.73%             | +9.71%              |                     |                    | +2.20%             |
| Apr 2004 | 735            | +3.70%              | +3.88%             | +3.77%              |                     |                    | -2.22%             |
| May 2004 | 872            | +0.40%              | +0.45%             | +0.43%              |                     |                    | +0.67%             |
| Jun 2004 | 1,081          | +2.82%              | +2.86%             | +2.90%              |                     |                    | +1.91%             |
| Q2 2004  |                | +7.05%              | +7.33%             | +7.23%              |                     |                    | +0.32%             |
| Jul 2004 | 1,088          | -0.24%              | -0.20%             | -0.24%              |                     |                    | -3.34%             |
| Aug 2004 | 1,114          | +0.85%              | +0.94%             | +0.88%              |                     |                    | +0.26%             |
| Sep 2004 | 1,173          | +4.86%              | +4.90%             | +5.00%              |                     |                    | +1.77%             |
| Q3 2004  |                | +5.50%              | +5.67%             | +5.67%              |                     |                    | -1.38%             |
| Oct 2004 | 1,187          | +2.35%              | +2.34%             | +2.41%              |                     |                    | +2.37%             |
| Nov 2004 | 1,435          | +4.93%              | +5.09%             | +5.31%              |                     |                    | +5.09%             |
| Dec 2004 | 1,589          | +6.94%              | +6.86%             | +7.13%              |                     |                    | +3.73%             |
| Q4 2004  |                | +14.85%             | +14.93%            | +15.54%             |                     |                    | +11.59%            |
| 2004     |                | <b>+41.95%</b>      | <b>+43.04%</b>     | <b>+43.65%</b>      |                     |                    | <b>+12.84%</b>     |
| Jan 2005 | 1,960          | +6.45%              | +6.51%             | +6.68%              |                     |                    | -2.31%             |
| Feb 2005 | 2,265          | +3.80%              | +3.83%             | +3.90%              |                     |                    | +3.01%             |
| Mar 2005 | 2,275          | -1.07%              | -1.04%             | -1.07%              |                     |                    | -2.17%             |
| Q1 2005  |                | +9.32%              | +9.44%             | +9.65%              |                     |                    | -1.55%             |
| Apr 2005 | 2,502          | -0.02%              | -0.05%             | -0.02%              |                     |                    | -2.39%             |
| May 2005 | 2,856          | +3.46%              | +3.46%             | +3.59%              |                     |                    | +1.52%             |
| Jun 2005 | 3,271          | +6.15%              | +6.15%             | +6.35%              |                     |                    | +0.71%             |
| Q2 2005  |                | +9.80%              | +9.77%             | +10.14%             |                     |                    | -0.21%             |
| Jul 2005 | 3,624          | +4.47%              | +4.41%             | +4.61%              |                     |                    | +3.43%             |
| Aug 2005 | 3,754          | +2.03%              | +1.88%             | +2.08%              |                     |                    | +0.56%             |
| Sep 2005 | 4,055          | +7.11%              | +7.03%             | +7.31%              |                     |                    | +2.47%             |
| Q3 2005  |                | +14.17%             | +13.86%            | +14.59%             |                     |                    | +6.57%             |
| Oct 2005 | 4,050          | -3.68%              | -3.80%             | -3.77%              |                     |                    | -2.49%             |
| Nov 2005 | 4,605          | +5.06%              | +5.06%             | +5.20%              |                     |                    | +3.14%             |
| Dec 2005 | 5,421          | +7.92%              | +7.72%             | +8.12%              |                     |                    | +2.14%             |
| Q4 2005  |                | +9.21%              | +8.86%             | +9.45%              |                     |                    | +2.73%             |
| 2005     |                | <b>+49.66%</b>      | <b>+48.90%</b>     | <b>+51.48%</b>      |                     |                    | <b>+7.56%</b>      |
| Jan 2006 | 5,782          | +6.38%              | +6.10%             | +6.61%              |                     |                    | +4.41%             |
| Feb 2006 | 6,012          | +3.97%              | +4.15%             | +4.12%              |                     |                    | -0.29%             |
| Mar 2006 | 6,809          | +3.72%              | +3.27%             | +3.84%              | +3.65%              | +3.44%             | +1.96%             |
| Q1 2006  |                | +14.71%             | +14.11%            | +15.26%             | +3.65%              | +3.44%             | +6.14%             |
| Apr 2006 | 7,183          | +5.91%              | +5.64%             | +6.10%              | +5.80%              | +5.54%             | +2.87%             |
| May 2006 | 6,225          | -9.18%              | -9.11%             | -9.64%              | -9.56%              | -9.57%             | -3.72%             |
| Jun 2006 | 6,767          | +3.38%              | +3.27%             | +3.71%              | +3.96%              | +3.93%             | -0.18%             |
| Q2 2006  |                | -0.56%              | -0.84%             | -0.57%              | -0.53%              | -0.81%             | -1.13%             |
| Jul 2006 | 7,495          | +3.75%              | +3.61%             | +3.87%              | +3.68%              | +3.54%             | +0.55%             |
| Aug 2006 | 7,828          | +3.71%              | +3.50%             | +3.83%              | +3.37%              | +3.43%             | +2.38%             |
| Sep 2006 | 7,843          | +0.03%              | -0.12%             | +0.03%              | +0.00%              | -0.12%             | +1.07%             |
| Q3 2006  |                | +7.63%              | +7.11%             | +7.88%              | +7.17%              | +6.96%             | +4.05%             |
| Oct 2006 | 8,307          | +4.01%              | +3.88%             | +4.13%              | +3.72%              | +3.29%             | +3.61%             |
| Nov 2006 | 8,615          | +3.04%              | +2.93%             | +3.13%              | +2.99%              | +2.88%             | +2.27%             |
| Dec 2006 | 8,945          | +5.63%              | +5.53%             | +5.78%              | +5.54%              | +5.44%             | +1.95%             |
| Q4 2006  |                | +13.21%             | +12.84%            | +13.60%             | +12.74%             | +12.05%            | +8.02%             |
| 2006     |                | <b>+38.99%</b>      | <b>+36.76%</b>     | <b>+40.45%</b>      | <b>+24.57%</b>      | <b>+22.97%</b>     | <b>+17.95%</b>     |

| Period   | Assets<br>(€m) | Class A<br>(3yr) \$ | Class A<br>(3yr) € | Class B<br>(5yr) \$ | Class C<br>(5yr) \$ | Class C<br>(5yr) € | Class D<br>(Q) \$ | Class D<br>(Q) € | MSCI<br>World (\$) |
|----------|----------------|---------------------|--------------------|---------------------|---------------------|--------------------|-------------------|------------------|--------------------|
| Jan 2007 | 9,460          | +2.05%              | +1.99%             | +2.12%              | +2.05%              | +1.99%             |                   |                  | +1.12%             |
| Feb 2007 | 9,474          | -1.25%              | -1.27%             | -1.29%              | -1.25%              | -1.27%             |                   |                  | -0.65%             |
| Mar 2007 | 10,145         | +6.78%              | +6.63%             | +7.02%              | +6.78%              | +6.63%             |                   |                  | +1.59%             |
| Q1 2007  |                | +7.61%              | +7.37%             | +7.88%              | +7.61%              | +7.37%             |                   |                  | +2.06%             |
| Apr 2007 | 10,762         | +4.99%              | +4.81%             | +5.17%              | +4.99%              | +4.81%             |                   |                  | +4.21%             |
| May 2007 | 11,151         | +4.38%              | +4.30%             | +4.52%              | +4.38%              | +4.30%             |                   |                  | +2.47%             |
| Jun 2007 | 10,971         | -2.34%              | -2.43%             | -2.41%              | -2.34%              | -2.43%             |                   |                  | -0.90%             |
| Q2 2007  |                | +7.02%              | +6.67%             | +7.27%              | +7.02%              | +6.67%             |                   |                  | +5.82%             |
| Jul 2007 | 11,056         | +0.98%              | +0.86%             | +1.02%              | +0.98%              | +0.86%             |                   |                  | -2.28%             |
| Aug 2007 | 10,123         | -5.97%              | -6.14%             | -6.16%              | -5.97%              | -6.14%             |                   |                  | -0.27%             |
| Sep 2007 | 11,308         | +9.24%              | +8.85%             | +9.56%              | +9.24%              | +8.85%             |                   |                  | +4.61%             |
| Q3 2007  |                | +3.73%              | +3.04%             | +3.86%              | +3.73%              | +3.04%             |                   |                  | +1.95%             |
| Oct 2007 | 12,048         | +8.13%              | +8.03%             | +8.37%              | +8.13%              | +8.03%             |                   |                  | +2.99%             |
| Nov 2007 | 12,263         | +3.62%              | +3.55%             | +3.72%              | +3.62%              | +3.55%             |                   |                  | -4.24%             |
| Dec 2007 | 12,643         | +2.79%              | +2.76%             | +2.86%              | +2.79%              | +2.76%             |                   |                  | -1.37%             |
| Q4 2007  |                | +15.17%             | +14.95%            | +15.62%             | +15.17%             | +14.95%            |                   |                  | -2.74%             |
| 2007     |                | +37.59%             | +35.66%            | +38.97%             | +37.59%             | +35.66%            |                   |                  | +7.09%             |
| Jan 2008 | 11,239         | -6.24%              | -6.38%             | -6.24%              | -6.24%              | -6.38%             |                   |                  | -7.71%             |
| Feb 2008 | 10,714         | -2.70%              | -2.56%             | -2.70%              | -2.70%              | -2.56%             |                   |                  | -0.74%             |
| Mar 2008 | 10,187         | -1.05%              | -0.83%             | -1.05%              | -1.05%              | -0.83%             |                   |                  | -1.25%             |
| Q1 2008  |                | -9.73%              | -9.54%             | -9.73%              | -9.73%              | -9.54%             |                   |                  | -9.53%             |
| Apr 2008 | 12,073         | +8.37%              | +8.61%             | +8.37%              | +8.37%              | +8.61%             |                   |                  | +4.98%             |
| May 2008 | 12,709         | +3.30%              | +3.38%             | +3.30%              | +3.30%              | +3.38%             |                   |                  | +1.11%             |
| Jun 2008 | 10,922         | -12.96%             | -12.68%            | -12.96%             | -12.96%             | -12.68%            |                   |                  | -8.10%             |
| Q2 2008  |                | -2.56%              | -1.96%             | -2.56%              | -2.56%              | -1.96%             |                   |                  | -2.45%             |
| Jul 2008 | 11,233         | +1.81%              | +2.02%             | +1.81%              | +1.81%              | +2.02%             |                   |                  | -2.53%             |
| Aug 2008 | 11,639         | -2.60%              | -2.46%             | -2.60%              | -2.60%              | -2.46%             |                   |                  | -1.60%             |
| Sep 2008 | 10,257         | -14.88%             | -15.08%            | -14.88%             | -14.88%             | -15.08%            |                   |                  | -12.08%            |
| Q3 2008  |                | -15.59%             | -15.49%            | -15.59%             | -15.59%             | -15.49%            |                   |                  | -15.67%            |
| Oct 2008 | 9,763          | -13.39%             | -14.41%            | -13.39%             | -13.39%             | -14.41%            |                   |                  | -19.04%            |
| Nov 2008 | 8,685          | -9.67%              | -9.78%             | -9.67%              | -9.67%              | -9.78%             |                   |                  | -6.72%             |
| Dec 2008 | 7,093          | -2.06%              | -2.16%             | -2.06%              | -2.06%              | -2.16%             |                   |                  | +3.06%             |
| Q4 2008  |                | -23.38%             | -24.45%            | -23.38%             | -23.38%             | -24.45%            |                   |                  | -22.18%            |
| 2008     |                | -43.11%             | -43.37%            | -43.11%             | -43.11%             | -43.37%            |                   |                  | -42.08%            |
| Jan 2009 | 7,422          | -4.51%              | -4.80%             | -4.51%              | -4.51%              | -4.80%             |                   |                  | -8.85%             |
| Feb 2009 | 7,371          | +0.53%              | +0.56%             | +0.53%              | +0.53%              | +0.56%             |                   |                  | -10.49%            |
| Mar 2009 | 6,855          | -1.40%              | -1.68%             | -1.40%              | -1.40%              | -1.68%             |                   |                  | +7.23%             |
| Q1 2009  |                | -5.35%              | -5.88%             | -5.35%              | -5.35%              | -5.88%             |                   |                  | -12.50%            |
| Apr 2009 | 6,101          | -2.08%              | -2.10%             | -2.08%              | -2.08%              | -2.10%             |                   |                  | +10.90%            |
| May 2009 | 5,710          | +0.26%              | +0.26%             | +0.26%              | +0.26%              | +0.26%             |                   |                  | +8.62%             |
| Jun 2009 | 5,668          | +0.39%              | +0.42%             | +0.39%              | +0.39%              | +0.42%             |                   |                  | -0.61%             |
| Q2 2009  |                | -1.44%              | -1.43%             | -1.44%              | -1.44%              | -1.43%             |                   |                  | +19.73%            |
| Jul 2009 | 5,571          | +4.10%              | +4.09%             | +4.10%              | +4.10%              | +4.09%             |                   |                  | +8.37%             |
| Aug 2009 | 4,814          | +1.53%              | +1.51%             | +1.53%              | +1.53%              | +1.51%             | +1.53%            | +1.52%           | +3.91%             |
| Sep 2009 | 4,797          | +2.30%              | +2.25%             | +2.30%              | +2.30%              | +2.25%             | +2.34%            | +2.25%           | +3.81%             |
| Q3 2009  |                | +8.12%              | +8.03%             | +8.12%              | +8.12%              | +8.03%             | +3.91%            | +3.80%           | +16.90%            |
| Oct 2009 | 4,750          | +0.75%              | +0.72%             | +0.75%              | +0.75%              | +0.72%             | +0.75%            | +0.70%           | -1.85%             |
| Nov 2009 | 4,794          | +3.30%              | +3.27%             | +3.30%              | +3.30%              | +3.27%             | +3.34%            | +3.27%           | +3.87%             |
| Dec 2009 | 5,225          | +4.93%              | +5.08%             | +4.93%              | +4.93%              | +5.08%             | +4.94%            | +5.08%           | +1.69%             |
| Q4 2009  |                | +9.21%              | +9.30%             | +9.21%              | +9.21%              | +9.30%             | +9.26%            | +9.28%           | +3.68%             |
| 2009     |                | +10.16%             | +9.55%             | +10.16%             | +10.16%             | +9.55%             | +13.53%           | +13.44%          | +26.98%            |
| Jan 2010 | 4,920          | -2.84%              | -2.89%             | -2.84%              | -2.84%              | -2.89%             | -2.84%            | -2.89%           | -4.19%             |
| Feb 2010 | 5,030          | +2.51%              | +2.54%             | +2.50%              | +2.50%              | +2.54%             | +2.50%            | +2.54%           | +1.23%             |

| Period    | Assets<br>(€m) | Class A<br>(3yr) \$ | Class A<br>(3yr) € | Class B<br>(5yr) \$ | Class C<br>(5yr) \$ | Class C<br>(5yr) € | Class D<br>(Q) \$ | Class D<br>(Q) € | MSCI<br>World (\$) |
|-----------|----------------|---------------------|--------------------|---------------------|---------------------|--------------------|-------------------|------------------|--------------------|
| Mar 2010  | 5,323          | +5.23%              | +5.24%             | +5.23%              | +5.23%              | +5.24%             | +5.23%            | +5.24%           | +5.93%             |
| Q1 2010   |                | +4.80%              | +4.80%             | +4.80%              | +4.80%              | +4.80%             | +4.80%            | +4.80%           | +2.74%             |
| Apr 2010  | 5,263          | -2.23%              | -2.27%             | -2.23%              | -2.23%              | -2.27%             | -2.23%            | -2.27%           | -0.16%             |
| May 2010  | 4,997          | -9.41%              | -9.99%             | -9.41%              | -9.41%              | -9.99%             | -9.41%            | -9.99%           | -9.91%             |
| Jun 2010  | 4,699          | -2.45%              | -2.54%             | -2.45%              | -2.45%              | -2.54%             | -2.45%            | -2.54%           | -3.56%             |
| Q2 2010   |                | -13.61%             | -14.27%            | -13.61%             | -13.61%             | -14.27%            | -13.61%           | -14.27%          | -13.26%            |
| Jul 2010  | 4,695          | +7.58%              | +7.58%             | +7.58%              | +7.58%              | +7.58%             | +7.58%            | +7.58%           | +8.02%             |
| Aug 2010  | 4,753          | -2.42%              | -2.56%             | -2.42%              | -2.56%              | -2.42%             | -2.56%            | -2.42%           | -3.92%             |
| Sep 2010  | 4,758          | +8.19%              | +8.04%             | +8.19%              | +8.19%              | +8.04%             | +8.19%            | +8.04%           | +9.11%             |
| Q3 2010   |                | +13.58%             | +13.26%            | +13.58%             | +13.58%             | +13.26%            | +13.58%           | +13.26%          | +13.24%            |
| Oct 2010  | 4,798          | +3.58%              | +3.47%             | +3.58%              | +3.58%              | +3.47%             | +3.58%            | +3.47%           | +3.65%             |
| Nov 2010  | 4,908          | -1.36%              | -1.51%             | -1.36%              | -1.36%              | -1.51%             | -1.36%            | -1.51%           | -2.35%             |
| Dec 2010  | 4,796          | +3.41%              | +3.37%             | +3.41%              | +3.41%              | +3.37%             | +3.41%            | +3.37%           | +7.25%             |
| Q4 2010   |                | +5.66%              | +5.33%             | +5.66%              | +5.66%              | +5.33%             | +5.66%            | +5.33%           | +8.56%             |
| 2010      |                | +8.65%              | +7.06%             | +8.65%              | +8.66%              | +7.06%             | +8.65%            | +7.06%           | +9.55%             |
| Jan 2011  | 4,485          | +1.60%              | +1.63%             | +1.60%              | +1.60%              | +1.63%             | +1.60%            | +1.63%           | +2.19%             |
| Feb 2011  | 4,706          | +6.49%              | +6.56%             | +6.49%              | +6.49%              | +6.56%             | +6.49%            | +6.56%           | +3.33%             |
| Mar 2011  | 4,380          | +2.81%              | +2.69%             | +2.81%              | +2.81%              | +2.70%             | +2.81%            | +2.70%           | -1.24%             |
| Q1 2011   |                | +11.25%             | +11.21%            | +11.25%             | +11.25%             | +11.22%            | +11.25%           | +11.22%          | +4.29%             |
| Apr 2011  | 4,094          | +5.23%              | +5.15%             | +5.23%              | +5.23%              | +5.15%             | +5.23%            | +5.15%           | +4.02%             |
| May 2011  | 4,217          | +0.73%              | +0.75%             | +0.73%              | +0.73%              | +0.75%             | +0.73%            | +0.75%           | -2.45%             |
| Jun 2011  | 4,027          | -1.24%              | -1.18%             | -1.24%              | -1.24%              | -1.18%             | -1.24%            | -1.18%           | -1.73%             |
| Q2 2011   |                | +4.68%              | +4.69%             | +4.68%              | +4.68%              | +4.69%             | +4.68%            | +4.69%           | +4.29%             |
| 2011 YTD  |                | +16.46%             | +16.43%            | +16.46%             | +16.46%             | +16.43%            | +16.46%           | +16.44%          | +3.99%             |
| Ann.      |                | +16.88%             | +16.07%            | n/a                 | n/a                 | n/a                | n/a               | n/a              | +3.39%             |
| Inception |                | +222.05%            | 205.86%            | n/a                 | n/a                 | n/a                | n/a               | n/a              | +28.45%            |

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP